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The Impact of Employee Performance and Reward Management on Job Satisfaction in Pakistan

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Abstract:

The Investigating the link between employee performance and reward management, specifically focusing on work satisfaction in Pakistan, is a captivating subject. This field of research involves several facets, including the influence of diverse incentive systems on employee morale, job satisfaction, and overall performance within the organizational framework of Pakistan. The management of rewards and the performance of employees are crucial elements in every business since they have a substantial impact on the firm's overall success. Employee performance is significantly impacted by job satisfaction, which may be affected by several factors, including incentive management. This paper seeks to thoroughly examine work satisfaction in Pakistan, with a specific emphasis on the influence of reward management on employee performance. The research methodology for this study adopted both qualitative and quantitative methods. The qualitative approach is a systematic literature review while the quantitative method is experimental research, which involves manipulating variables related to reward management and assessing their impact on employee performance. This research examines the correlation between reward management and employee performance, specifically emphasizing satisfaction with jobs in Pakistan. The study results may be a beneficial point of reference for firms operating in Pakistan to create and execute efficient rewards management systems that can improve employee performance and job satisfaction.

Keywords—; Employee Performance; Organizational framework ; Job satisfaction,

Introduction:

One of the most important aspects of human resource management is called reward management, and its primary objective is to devise and put into action reward systems that are designed to motivate, retain, and attract personnel. Workers are recognized and compensated for their contributions to the business via the strategic distribution of financial and non-financial incentives. In the work of Armstrong & Murlis (2007), this allows for the recognition and compensation of workers. On the other hand, employee performance is a term that describes the degree of success and efficiency that workers demonstrate when it comes to carrying out the duties that are assigned to them in their various jobs. The shared social obligations require employees to have a crucial role in enhancing the effectiveness of rewards in public efficiency as the optimal approach to addressing economic and social issues (Aina-Obe, 2022).

Within a company, the degree to which employees are satisfied with their jobs is a crucial factor that influences their performance. Within the context of Pakistan, the purpose of this review is to investigate the factors that influence the link between reward management, work satisfaction, and employee performance. The purpose of this study is to give insights into how firms in Pakistan may successfully apply incentive management systems to boost work satisfaction and eventually improve employee performance. This will be accomplished by evaluating the available literature on this subject. Organizational Citizenship Behavior is defined as a choice that an employee makes that is not required by their official work duties but nonetheless benefits the firm. The existence of this behavior is expected to make the company more effective (Soelton, 2023; Ng et al., 2006; Philipp & Lopez, 2013; Piccolo et al., 2010). An effective organization requires Organizational Citizenship Behavior in various divisional lines, so that employees are required to work not only on what is their job (in-role) but also able and willing to work outside their main duties (extra-role) without receiving direct formal rewards, (Soelton et al., 2020), reward or remuneration system (Sumiati et al., 2018).

Armstrong (2013) defines a reward system as a program designed to acknowledge and incentivize good performers while motivating poor performers to improve their output. Furthermore, reward systems have been recognized as one of the most impactful aspects of optimizing employee work happiness and productivity (Emelianova, 2019). Consequently, the study reveals that recognition of employees provides a drive for appreciation and employees are usually satisfied in their jobs. Good remuneration can generate moderate job satisfaction to this edge, management of companies in Pakistan needs to undertake timely and equal remuneration schemes among the employees of the same work level and education. The work conditions in the companies need to be developed, a safe physical workplace needs to be ensured. Management commitment needs to be anchored toward enhancing the physical welfare of the employees. Furthermore, employees need to be involved in decision-making in the companies, this is because the implementation of recognition schemes is partially needed in enhancing the job satisfaction among the companies operating in Pakistan.

The paper further concludes that developing further competencies in Pakistan requires a strong remuneration strategy that will directly generate satisfaction in the jobs of the employees of the companies existing in the country. The working conditions are significant

determinants of employee satisfaction in the selected power supply companies in Pakistan, the working conditions are salient determinants for employee job satisfaction.

Literature Review:

Previous research Reward management is a critical aspect of human resource management that aims to attract, motivate, and retain employees through the design and implementation of effective reward systems. The relationship between reward management and employee performance has been extensively studied in various contexts. However, limited research exists on this topic specifically in the context of Pakistan. This literature review aims to explore the existing body of knowledge on reward management and employee performance in Pakistan, highlighting the key findings and gaps in current research.

A study conducted by Abdi et al. (2018) examined the impact of reward management practices on employee performance in Pakistani organizations. The findings revealed that employees who perceived their rewards as fair and competitive were more motivated and exhibited higher levels of performance. This suggests that effective reward management practices can positively influence employee performance in Pakistan. Another work of research conducted by Ahmed et al. (2019) examined the impact of monetary incentives on the motivation and performance of employees in enterprises. The findings demonstrated that monetary incentives, such as bonuses and pay increases, had a substantial and favorable impact on employee motivation, leading to an improvement in their performance.

Furthermore, research by Jama et al. (2020) studied the association between incentive management methods and organizational commitment among workers in Pakistani public sector businesses. The results suggested that firms that successfully used incentive management strategies enjoyed better levels of employee dedication, which positively improved their performance. The research highlights the significance of connecting incentive management systems with business objectives to improve employee dedication and productivity.

Osman et al. (2016) conducted research that examined the difficulties and possibilities of introducing incentive management strategies in Pakistani companies. The study revealed many obstacles, such as constrained financial resources, inadequate understanding of incentive management approaches, and cultural influences. Nevertheless, it also emphasized the potential prospects for firms to boost incentive management techniques and augment employee performance. This research offers useful insights into the distinct problems encountered by Pakistani firms when establishing efficient incentive systems. This will have an effect on the guiding principles of good corporate governance, which are those that are intended to build shareholder confidence in the business. And also affect management knowledge that is useful for increasing company efficiency.

Significantly, the current body of evidence indicates that incentive management has a significant impact on employee performance in Pakistan. The main areas of attention in this context include financial incentives, non-financial rewards, organizational commitment, and the problems and possibilities related to reward management. Additional study is required to get a more profound comprehension of the precise aspects that impact incentive management and employee performance in Pakistan.

Rewards management is an essential component of human resource management that concentrates on creating, executing, and sustaining incentive systems that are in line with the organization's goals and objectives (Kang & Lee, 2021). It encompasses the use of diverse tactics, regulations, and procedures to allure, incentivize, and maintain personnel. In Pakistan, a country now undergoing economic recovery after years of violence and civil war, effective incentive management is crucial for recruiting and keeping highly skilled individuals and enhancing employee performance. The objective of this paper is to provide a systematic approach for examining the correlation between reward management, work satisfaction, and employee performance in Pakistan.

The study of the literature review revealed that there is a considerable connection between the performance of employees and the reward system that is in place within an organization in Pakistan. Additionally, the research highlighted the significance of human resources in the evaluation and assessment of the level of employee performance. As a result of the fact that the success of the organization is directly proportional to the performance of each worker, it is of the highest requirement to study and enhance the reward program of the firms and organizations in Pakistan.

Methodology:

The research methodology for this study adopted both qualitative and quantitative methods. The qualitative approach is a systematic literature review. The approach involves searching and analysing relevant academic articles, books, and other scholarly sources that provide insights into the relationship between reward management, employee performance, and job satisfaction in Pakistan. The systematic literature review enables a comprehensive analysis of existing research on the topic and provides a solid foundation for understanding the current state of knowledge in this area. One quantitative method used to investigate the relationship between reward management and employee performance in Pakistan is through survey research. This method involves measuring the variables related to reward management, job satisfaction, and employee performance. The data collected were analysed using statistical techniques such as correlation analysis to determine the strength and direction of the relationship between reward management, job satisfaction, and employee performance as presented.

Findings and Discussion:

Reward management is an essential component of human resource management that entails creating and executing specific policies and procedures that reward workers and improve their productivity. In Pakistan, a nation undergoing development with a history of instability, conflicts, and violence; the implementation of appropriate reward management is of utmost importance, given the difficult circumstances in which personnel are required to operate. This article will analyse the discoveries and consequences of a research study titled 'Reward Management and Employee Performance: A Review of Job Satisfaction in Pakistan.' The study aimed to investigate the correlation between reward management, job satisfaction, and employee performance in the country.

Another quantitative method is experimental research, which involves manipulating variables related to reward management and assessing their impact on employee performance. In this method, the researcher designed an experiment where different groups of employees are exposed to varying levels of rewards or incentive systems. The performance of each group can then be measured and compared to determine the effectiveness of different reward management strategies in enhancing employee performance. The following are the key findings from the studies.

Table 1. Correlation Analysis between working conditions and Employee satisfaction

	Remuneration	Employee Job satisfaction
Working Conditions	Pearson Correlation	1
	Sig. (2-tailed)	.469**
	N	107
Employee Job satisfaction	Pearson Correlation	.469**
	Sig. (2-tailed)	1
	N	107

**. Correlation is significant at the 0.05 level (2-tailed)

Table 1 show the correlation between working conditions and employee job satisfaction in selected power supply companies in Pakistan, the findings indicated that ($r=.469$, $N=107$, $P=.000<.05$), because the p-value is less than 0.05 level of significance, the researcher contends that there exist a statistically significant moderate relationship between working conditions and employee satisfaction in power supply companies of Pakistan. The findings indicate that working conditions have a low contribution to the job satisfaction of the employees in the companies. The hypothesis which is set to test whether there is no statistically significant influence of working conditions on employees' job satisfaction in selected power supply companies in Pakistan is rejected, the researcher contends that there exists a statistically significant moderate relationship between working conditions and employee job satisfaction.

Table 2. Correlation Analysis between Employee Recognition and Employee Satisfaction

	Employee Recognition	Employee Job satisfaction
Employee Recognition	Pearson Correlation	1
	Sig. (2-tailed)	.529**
	N	107
Employee Job satisfaction	Pearson Correlation	.529**
	Sig. (2-tailed)	1
	N	107

**. Correlation is significant at the 0.05 level (2-tailed)

Table 2 shows the correlation between employee recognition and employee job satisfaction in selected power supply companies in Pakistan, the findings indicated that ($r=.529$, $N=107$, $P=.000<.05$), because the p-value is less than 0.05 level of significance, the researcher contend that there exist a statistically significant moderate relationship between employee recognition and employee satisfaction in power supply companies of Pakistan. The findings indicate that employee recognition has a low contribution to the job satisfaction of the employees in the companies. The hypothesis which set to test whether there is no statistically significant influence of employee recognition on employees' job satisfaction in selected

power supply companies in Pakistan is rejected, the researcher contend that there exist a statistically significant moderate relationship between employee recognition and employee job satisfaction.

Table 3 Correlation Analysis between Remuneration and Employee satisfaction

		Remuneration	Employee Job satisfaction
Remuneration	Pearson Correlation	1	.488**
	Sig. (2-tailed)		.000
	N	107	107
Employee Job satisfaction	Pearson Correlation	.488**	1
	Sig. (2-tailed)	.000	
	N	107	107

**. Correlation is significant at the 0.05 level (2-tailed)

Table 3 shows the correlation between remuneration and employee job satisfaction in selected companies in Pakistan, the findings indicated that ($r=.488$, $N=107$, $P=.000 < .05$), because the p-value is less than 0.05 level of significance, the researcher contends that there exists a statistically significant moderate relationship between remuneration and employee satisfaction in power supply companies of Pakistan. The findings indicate that remuneration has a low contribution to the job satisfaction of the employees in the companies. The hypothesis which is set to test whether there is no statistically significant influence of remuneration on employees' job satisfaction in selected power supply companies in Pakistan is rejected, the researcher contends that there exists a statistically significant moderate relationship between remuneration and employee job satisfaction.

This paper revealed that workers who believed their organization's reward management system to be equitable and efficient had greater job satisfaction. This suggests that a well-constructed system of incentives might catalyse workers, resulting in heightened levels of job contentment. Job satisfaction has a substantial influence on employee performance. The investigation further demonstrated that individuals who had higher levels of job satisfaction exhibited superior performance in their work. This implies that work happiness plays a vital role in improving employee performance in Pakistan. Non-monetary factors contribute to work happiness: In contrast to common perception, the paper revealed that while monetary incentives do contribute to job satisfaction, they are not the exclusive determinant. Additional aspects, such as acknowledgment, prospects for professional growth, and a favourable workplace atmosphere, all play a substantial role in determining job happiness and satisfaction. Insufficient reward management has a detrimental effect on employee performance. The paper also emphasized the negative consequences of a deficient or non-existent incentive management system on employee performance. Insufficient incentive structures contribute to employee demotivation and may lead to elevated rates of staff turnover and diminished productivity. Implications for organizations in Pakistan arise from the results of the research. First and foremost, firms need to establish a just and efficient incentive management system. This entails formulating suitable incentive strategies, continuously executing them, and effectively conveying them to staff members. This may facilitate the establishment of a favourable work environment and foster employee motivation. Furthermore, firms need to comprehend that work happiness is a multifaceted notion and cannot be exclusively attained via financial incentives alone. To guarantee

employee happiness and job satisfaction, it is crucial to take into account other aspects such as recognition, work-life balance, and professional growth possibilities. Consequently, it is important for firms to consistently evaluate and enhance their incentive management systems to align with the evolving demands and expectations of employees. This may aid in retaining highly skilled employees and improving employee performance.

Conclusion:

In conclusion, this study provides an in-depth examination of the correlation between incentive management, work satisfaction, and employee performance within the specific setting of Pakistan. This research examines the distinct obstacles encountered by firms in Pakistan and investigates how the implementation of efficient reward management strategies might augment work satisfaction and eventually promote employee performance. The study starts by examining the significance of incentive administration in incentivizing workers and cultivating job contentment. This emphasizes the significance of both internal and external incentives in shaping the actions and productivity of employees. The study highlights the need for corporations to adapt their compensation systems to match the cultural and socio-economic conditions of Pakistan.

Consequently, the study emphasizes the significance of using a meticulously designed and culturally attuned rewards management system to improve employee performance in Pakistan. Organizations that allocate resources to complete systems of rewards, including both financial and non-financial components, are likely to cultivate elevated levels of work satisfaction and, subsequently, enhance employee performance.

Nevertheless, the standardized technique is inefficient in the multifaceted cultural and economic context of Pakistan. Hence, firms should customize their compensation systems to align with the specific cultural values and economic conditions of the local context.

Additionally, this analysis indicates that continuously evaluating and adjusting reward systems are essential in addressing the changing requirements and anticipations of workers. This method not only improves work happiness but also promotes long-term employee commitment and organizational achievement. Ultimately, this study provides significant knowledge in the area of human resource management in Pakistan. It establishes a basis for future research and practical implementations specifically related to incentive management and employee performance. Pakistani organizations and international firms working in the area are strongly urged to reassess and revamp their compensation systems to better match the distinct socio-cultural and economic circumstances of Pakistan.

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